

UTT Chapter 16 Test

MATCHING [Each question is worth 1 point.]

Choose the correct answer from the choices below

1. G **The branch of economics that studies how households and firms buy, sell, and allocate resources**
2. F **The branch of economics that studies how large economies function as a whole**
3. D **An economy in which economic decisions are freely made by households and firms**
4. A **Goods used to produce other goods and services**
5. B **The belief that human beings are social constructs and not unified rational individuals with an objective human nature**
6. I **From the Arabic word translated as “nation,” the collective community of Muslims around the world**
7. J **The third pillar of Islam, the donation of 2.5 percent of a Muslim’s annual income**
8. H **An Arabic word meaning either interest or excessive interest**
9. E **A tax imposed on *dhimmis* living in Islamic states**
10. C **Rivalry between two or more companies to offer the best products, at the best price, and at the highest profit margins**

A. Capital [16.3]
B. Decentered Self [16.7]
C. Economic competition [16.10]
D. Free market economy [16.3]
E. *Jizyah* [16.9]

F. Macroeconomics [16.3]
G. Microeconomics [16.3]
H. *Riba* [16.9]
I. *Ummah* [16.9]
J. *Zakat* [16.9]

MULTIPLE CHOICE [Each question is worth 1 point.]

Choose the correct answer from the choices below.

- 11. Which of the following economists believed that when people are free to pursue their own financial interests, they indirectly promoted the good of society?**
- a. Karl Marx
 - b. Fredrick Engels
 - c. Adam Smith [16.3]
 - d. John Maynard Keynes
 - e. A and B only
- 12. To provide economic stability, the government must ensure what?**
- a. Property rights
 - b. Rights to intellectual property
 - c. The redistribution of wealth
 - d. None of the above
 - e. A and B only [16.4]
- 13. The U.S. Constitution guarantees which of the following?**
- a. The right to have rent-controlled housing
 - b. The right to farm subsidies
 - c. The right to a fair minimum wage
 - d. The right to government health care
 - e. The right to own ideas through copyrights and patents [16.4]
- 14. Who argued that the government should spend borrowed money to stimulate a down economy and generate the revenue to repay its debt?**
- a. Adam Smith
 - b. Milton Friedman
 - c. Ayn Rand
 - d. John Maynard Keynes [16.4]
 - e. A and B only
- 15. Which of the following economists were Secularists who defended the principles of capitalism as the only just economic system?**
- a. Karl Marx
 - b. Friedrich Engels
 - c. Erich Fromm
 - d. Ayn Rand [16.5]
 - e. A and B only

16. Why did Karl Marx favor socialism over capitalism?

- a. Marx believed that capitalism allowed the bourgeoisie to hoard wealth by paying workers less than they were worth.
- b. Marx believed that socialism was more stable and efficient than capitalism.
- c. Marx believed that capitalism was an economic system invented by the devil to deceive mankind.
- d. All of the above
- e. A and B only [16.6]

17. According to Marxist theory, what is the transitional phase between capitalism and communism?

- a. Anarchy
- b. Socialism [16.6]
- c. Fascism
- d. Shintoism
- e. Platonism

18. What is the biggest problem with socialism?

- a. Socialism removes the incentive to work and create wealth. [16.5–16.6]
- b. Socialism benefits the rich at the expense of the poor.
- c. Socialism assumes that human beings are inherently sinful.
- d. All of the above
- e. A and B only

19. Upon what assumption is the New Spiritualist view of economics built?

- a. Money is evil
- b. Reality is immaterial [16.8]
- c. Matter is all that is real
- d. Consciousness is an illusion
- e. All of the above

20. Which of the following is part of Islamic economics?

- a. Islam requires Muslims to care for the poor.
- b. Islam forbids issuing loans with high rates of interest to other Muslims.
- c. Islam affirms the value of private property.
- d. Islam labels greed, selfishness, gluttony, and materialism as sins.
- e. All of the above [16.9]

21. The commandments against stealing and coveting presuppose the legitimacy of what?

- a. Private property [16.10]
- b. Socialism
- c. Fascism
- d. Communism
- e. Anarchism

TRUE OR FALSE [Each question is worth 1 point.]

Indicate if each statement is true or false. If the statement is false, alter it to make it true.

22. At its most basic level, economics is about the scarcity of resources.

True [16.2]

23. Economic growth requires predictability and instability.

False: stability [16.4]

24. The government should promote economic equity (i.e., making sure the pie is as big as possible) and not economic efficiency (i.e., making sure the pie is divided fairly).

False: efficiency and not economic equity [16.4]

25. Most Secularists believe that a central planning agency can anticipate every economic decision and manage every economic outcome.

True [16.4]

26. When governments print more money in order to pay off debts, prices go down and money increases in value.

False: up and money decreases [16.4]

27. In practice, most economies are entirely capitalistic or entirely socialistic.

False: a combination of both capitalism and socialism. [16.5]

28. The end goal of Marxism is a worldwide communist utopia.

True [16.6]

29. According to New Spirituality, the more enlightened a person is, the more money and success he or she will have.

True [16.8]

30. According to Christian economics, we are accountable to no one for how we use and steward our property.

False: God [16.10]

31. According to Christian economics, our right to own property stems from our duty to work.

True [16.10]

FILL-IN-THE-BLANK [Each question is worth 2 points.]

Fill in the missing word to complete each statement.

32. _____ Say's law [16.3] _____ states that the availability of a good or service creates a demand equal to its value.

33. _____ Communism [16.3] _____ is the Marxist ideal of a classless and stateless utopian society in which all property is commonly owned.

34. _____ Capitalism [16.5] _____ is an economic system in which capital assets are privately owned and the prices, production, and distribution of goods are determined by competition within a free market.

35. According to Karl Marx's _____ surplus value theory of labor [16.6] _____, setting prices above the labor cost of production leads to a situation in which the bourgeoisie amasses wealth at the expense of the proletariat.

36. The practice of lending money at an exorbitant rate of interest is called _____ usury [16.9] _____.

37. According to _____ Proverbs 16:8 [16.10] _____, "Better is a little with righteousness than great revenues with injustice."

38. According to _____ Proverbs 10:4 [16.10] _____, "A slack hand causes poverty, but the hand of the diligent makes rich."

39. According to _____ Proverbs 14:23 [16.10] _____, "In all toil there is profit, but mere talk tends only to poverty."

SHORT ANSWER [Each question is worth 3 points.]

Answer the following questions with at least one sentence.

40. Define economics.

Economics is the study of the management of resources. [16.1]

41. Define economic interventionism.

Economic interventionism is an economic system in which the government influences aspects of a market economy in an attempt to improve the public good. [16.5]

42. Define socialism.

Socialism is an economic system advocating either government or communal ownership of the means of production and distribution of goods and services. [16.5]

43. Define universal enlightened production.

Universal enlightened production is the belief that an individual's financial success is directly proportional to his or her level of enlightenment, or the belief that positive thought creates wealth. [16.8]

44. Define shariah economics.

Shariah economics is the economic requirements that govern the lives of Muslims. [16.9]

45. Define biblical stewardship.

Biblical stewardship is the act of managing and caring for resources that ultimately belong to God. [16.10]